

China Aerospace

EQUITY: TECHNOLOGY

Net catch: China's original route to rocket reuse

First-stage recovery success is a cost inflection; watch for reflly cadence, per-kg cost, and constellation orders

LM-10B first stage recovered at sea; first net-system catch

On 10 July 2026, China Aerospace Science and Technology Corporation (CASC) (unlisted) announced that *the Long March 10B (LM-10B) rocket lifted off from the Hainan commercial launch site, and around six minutes after first- and second-stage separation, the first stage executed a vertical return and was successfully recovered at sea*. This is China's first controlled recovery of an orbital launcher's first stage and the first net-system rocket recovery. The catch was performed by "Navigator", a purpose-built 25,000-tonne recovery vessel. We view the mission as a critical inflection point for the industry. Technologically, China's recoverable rockets now move from trial validation to engineering application, making China the second country after the US to master the technology. On cost, we expect total per-launch cost to fall substantially, potentially converging toward SpaceX's (SPCX US, Not rated) Falcon 9 unit economics — at USD2,500-3,500/kg based on our industry survey — as reuse scales. On the industry side, the recovery success should accelerate the two constellation projects (Guowang and Qianfan) roll-out, ease the launch-capacity bottleneck, and drive order growth across rockets, satellites and ground equipment.

From landing legs to nets: mapping rocket recovery technology routes

Rocket recovery targets reuse of the first stage — which is roughly 60-65% of the total vehicle cost — to cut launch costs and lift cadence. Mainstream rocket recovery technology routes are: legged vertical landing on land or droneships (SpaceX's Falcon 9), parachute-and-splashdown (Rocket Lab [RKLB US, Not rated]), tower "chopstick" capture (Starship booster), and net-system capture, now pioneered by China. Net capture replaces landing legs — typically several tons of dead weight — with hooks on the airframe, reducing payload loss, while the vessel's mobility relaxes landing-precision requirements versus fixed towers. A downrange recovery along the flight path is preferred to return-to-launch-site given far smaller payload penalties. Siting is dictated by geography: inland sites force land recovery, coastal sites favor sea. A sea recovery is safer but a rolling deck challenges legged landings — a weakness net capture avoids, hence, we believe it is a more creative route. In China, vertical takeoff and landing (VTVL) trials began in 2019, and by 2025 CASC, LandSpace (unlisted), i-Space (unlisted), and peers had completed tests, moving the sector into engineering flight validation. In 2025, Long March 12A and LandSpace's Zhuque-3 made China's first engineering-level recovery attempts, and Long March 10A completed a controlled sea splashdown in February 2026.

China closes recovery gap; high-cadence reliable reuse is next milestone

In our *Global satellites — accelerated launch plans and broadened applications* published in June 2026, we did a comparison of China's satellite development with US players. For rocket reuse, SpaceX remains the benchmark: its S-1 filing discloses ~620 Falcon 9 launches with >99% mission success and boosters reflown up to 34 times (qualification now extended to 40 flights). According to SpaceX and NSF, Falcon 9's ~4.2% payload fraction compares with 1.8-3.0% for global peers, and the new Raptor-3 delivers ~250t thrust per engine at ~1.5t weight (thrust-to-weight ~164) with 30MPa-plus chamber pressure versus ~10MPa typical of domestic engines. Our industry checks put China roughly 10 years behind — SpaceX landed boosters in 2015 (land) and 2016 (sea) — though views split: some see validated technical routes compressing the catch-up, others see the gap slightly widening given SpaceX's costlier, faster iteration. In addition, Starship's 12th flight achieved most of its primary test objectives (industry survey shows >95%), though booster recovery failed on re-ignition. SpaceX targets an orbital land

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recovery in 2027E, while the domestic second-stage recovery remains at the feasibility stage (i-Space trials ~2030E). Further, LM-10B's net-system route is an original Chinese path, shifting buffer structures from rocket to vessel. The remaining gap, in our view, is not single-mission recovery but high-cadence reliable reuse — a capability SpaceX only industrialised after 2020.

Launch cost economics: booster reuse drives steepest cost curve

Reuse economics are best read at mission level. According to SpaceX, its Falcon 9 launch cost of ~USD2,700/kg compares with ~USD18,500/kg historically (based on the company's ~620 launches with boosters reflown up to 34 times). Our industry survey indicates that long-term cost economics could be even lower: all-in internal cost below USD10mn per Starlink mission — c.USD1,000/kg — split between an expendable second stage closer to USD5mn (the effective cost floor), ~USD1mn of landing and refurbishment, and a few hundred thousand dollars of propellant. Booster qualification has been extended from 10 to 40 flights, with 50-60 deemed feasible; which suggests an expendable Falcon 9 mission at ~USD67mn versus USD34-37mn on a high-reflight booster. By comparison, according to STCN, China's current pricing of ~CNY60,000/kg (~USD8,400/kg) is roughly 3x Falcon 9's disclosed cost; LM-10B targets CNY20,000/kg (~USD2,800/kg), with net recovery eliminating landing legs to lift payload by 10-15% and targeting ~72-hour turnaround over 10-plus reuses. Putting together, for the domestic cost curve: a 20t expendable rocket at CNY200mn (CNY10mn/t) falls to ~CNY120mn (CNY7.5mn/t) with first-stage reuse — the first stage being ~60% of the hardware cost — and to CNY70-80mn (~CNY5.8mn/t) with full reuse. With expendable rockets priced within 10-20% of one another, we believe reusables' 30%-plus cost advantage should decide the 2027-29F shakeout in the industry; hence, per-kg economics, not recovery headlines, would be the arbiter, in our view.

In the China aerospace sector, we have a Buy rating on Sunway Communication (300136 CH) with a target price of CNY138, supported by likely acceleration in China's satellite deployment. We also maintain a Neutral rating on China Spacesat (600118 CH) with a target price of CNY80, as its business is likely to shift from satellite manufacturing, margin-compressed revenue based, to a high-value mix anchored by application, but offset by a high-valuation cap.

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shenzhen Sunway Communication	300136 CH	CNY 99.38	10-Jul-2026	Buy	N/A	
China Spacesat Co.	600118 CH	CNY 90.02	10-Jul-2026	Neutral	N/A	

Shenzhen Sunway Communication (300136 CH)

CNY 99.38 (10-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Shenzhen Sunway Communication



Date	Rating	Target price	Closing price
08-Jun-26		138.00	103.65
19-Apr-26		87.00	74.91
03-Apr-26	Buy		61.77
03-Apr-26		76.00	61.77

For explanation of ratings refer to the stock rating keys located after chart(s)

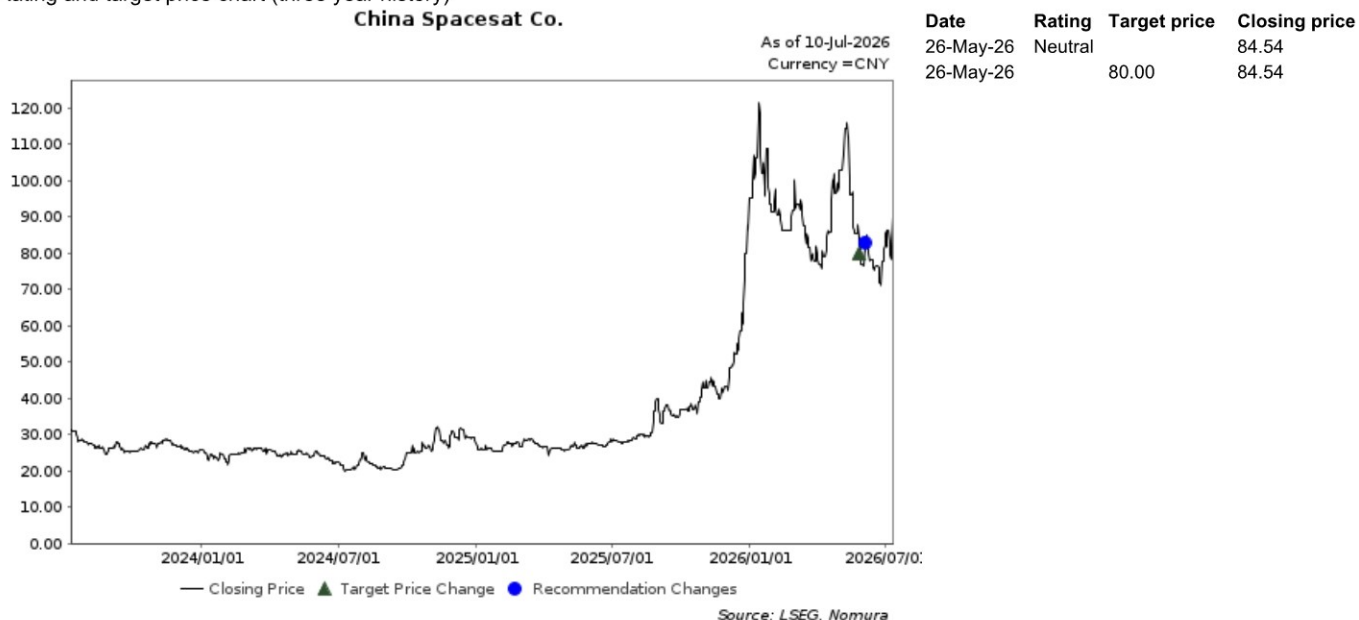
Valuation Methodology Our TP of CNY138 is based on 86x 2028F P/E, +3.0x SD of its 9-years historical average P/E at 39x, which is supported by 1) its 2025-28F earnings CAGR at 29% based on growth in satellite sector and product mix improvement, and 2) likely re-rating by shifting from a consumer electronics, margin-compressed revenue based toward a higher-value, more diversified mix anchored by satellite communication.

Risks that may impede the achievement of the target price Downside risks include: 1) slower delivery of satellite products; 2) intensified competition or policy uncertainties, which may result in shrinking shares in certain clients; 3) softening demand in consumer electronics market.

China Spacesat Co. (600118 CH)

CNY 90.02 (10-Jul-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

China Spacesat Co.

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY80 is based on 10x 2028F P/S, +2.5x SD of its 10-years historical average P/S at 5x, which is supported by its 2025-28F sales CAGR at 16% and a growing total addressable market for satellite. Driven by the solid growth in LEO (Low Earth Orbit) satellite market, we expect the company is a direct beneficiary of accelerated deployment of constellation and overseas business expansion, and will likely lead to a valuation re-rating backed by growing demand and mix change anchored by constellation projects. The benchmark index is CSI300.

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